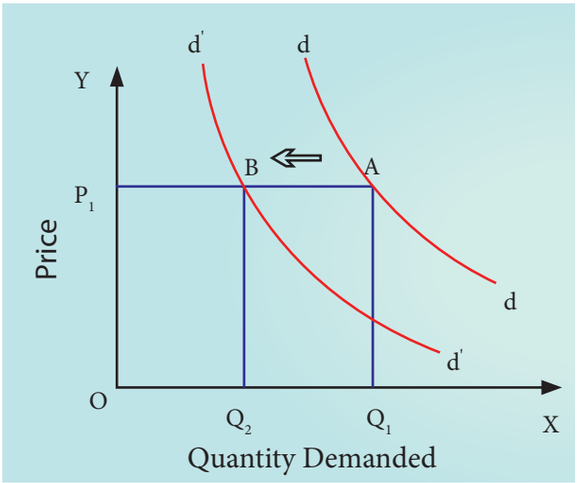


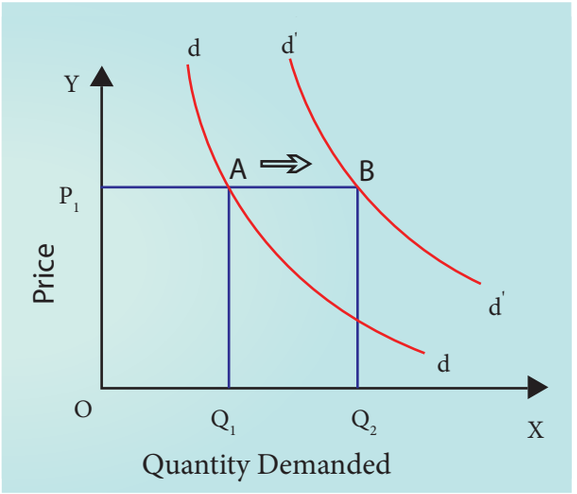


Diagram 2.8

'Extension' and 'Contraction' of demand follow a change in price. Increases and decreases in demand take place when price remains the same and the other factors bring about demand changes.

2.9 Elasticity of Demand

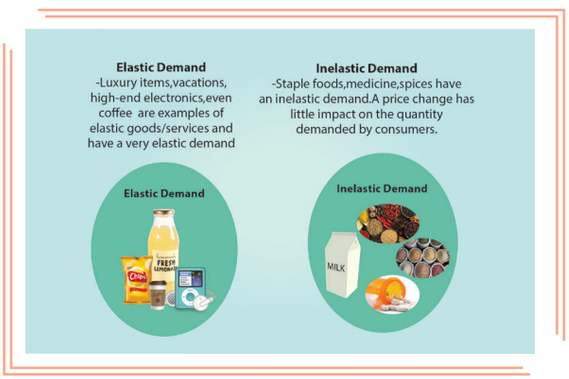
The Law of Demand explains the direction of change in demand due to change in the price. It fails to explain the rate of change in demand due to a given change in price. Elasticity of demand explains the rate of change in quantity demanded due to a given change in price.

"Elasticity of demand is, therefore, a technical term used by the Economists to describe the degree of responsiveness of the Quantity demand for a commodity to a change in its price".

- Stonier And Hague

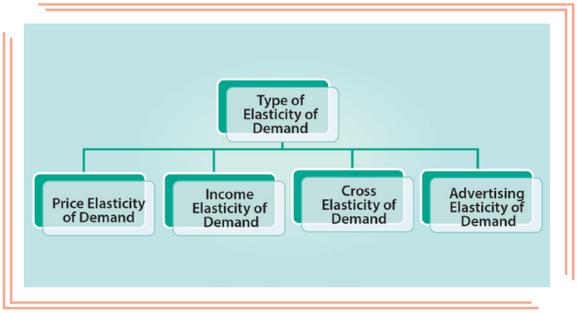
Elastic demand or More Elastic demand

Demand for a commodity is said to be "Elastic" when the quantity demanded increases by a large amount due to a little fall in the price and decreases by a large



amount due to a little rise in the price. To be more scientific, Elastic demand is called "More Elastic Demand".

2.9.1 Types of Elasticity of Demand



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